MARKETING STRATEGY

Market Targeting

Meaning • Types • Strategies

With practical examples and live industry cases



Agenda



Meaning of Targeting

What it means within the STP framework



Why Targeting Matters

The business case for focused marketing



Types of Targeting Strategies

Undifferentiated, differentiated, concentrated, micro



Criteria for Effective Targeting

What makes a segment worth pursuing

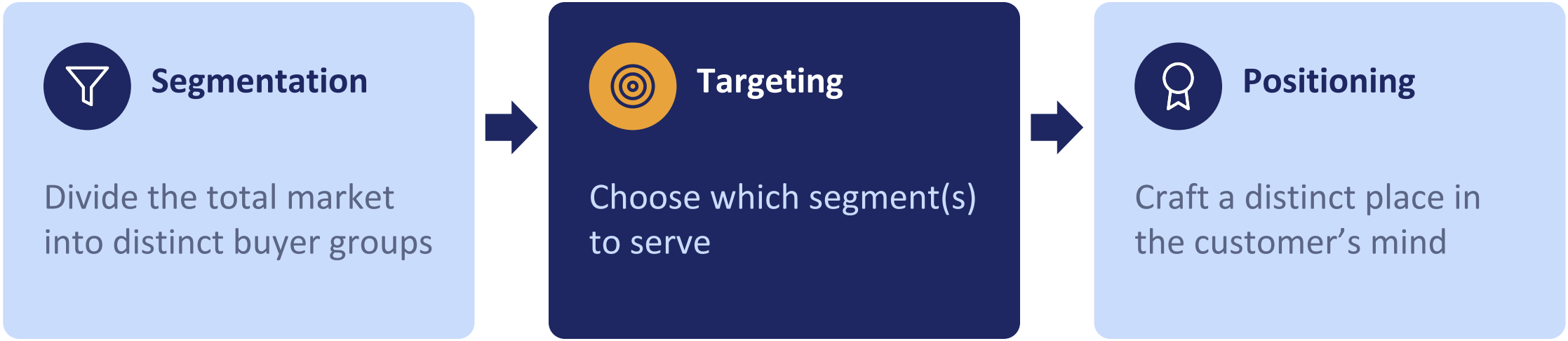


Live Case Studies

Amul and Netflix in the real world

Meaning of Targeting

Targeting is the process of evaluating each market segment's attractiveness and selecting one or more segments to enter with a tailored marketing offer.



Targeting is the bridge between understanding the market (segmentation) and winning a position in it (positioning).

Why Targeting Matters

Efficient Use of Resources

Marketing budgets are spent on the buyers most likely to respond, not the entire population.

Higher Return on Investment

Focused messaging and offers convert better than one-size-fits-all campaigns.

Competitive Advantage

Serving a segment deeply makes it harder for generalist rivals to compete.

Stronger Customer Relationships

Products and communication feel personally relevant, building loyalty.

Types of Targeting Strategies

Four broad approaches, from serving everyone the same way to serving one person uniquely.



Undifferentiated (Mass) Marketing

One offer for the entire market



Differentiated Marketing

Separate offers for several segments



Concentrated (Niche) Marketing

One tailored offer for one segment



Micromarketing

Offers tailored to local or individual level



TYPE 1

Undifferentiated (Mass) Marketing

The firm ignores segment differences and pursues the entire market with one offer, focusing on what is common in buyers' needs rather than on differences.

When to Use

- Product satisfies a nearly universal need
- Segments are hard to distinguish
- Cost leadership is the main strategy



PRACTICAL EXAMPLE

Salt and basic commodity goods

Everyday commodities such as salt or sugar are marketed with essentially one formulation, one message, and one channel strategy for the whole population, because buyer needs barely vary across segments. This keeps production and marketing costs at their lowest possible level.

Coca-Cola promotes its classic original-flavor soda with broad, global campaigns meant for every demographic instead of tailoring the drink to specific subsets of buyers



TYPE 2

Differentiated Marketing

The firm targets several segments and designs separate offers, messaging, and sometimes pricing for each one, aiming for higher sales and a stronger position within every segment served.

When to Use

- The firm has adequate resources for multiple offers
- Segments respond differently to distinct value propositions
- Higher total sales can justify higher operating cost



PRACTICAL EXAMPLE

Titan Company's multi-brand watch portfolio

Titan serves distinct segments through separate brands built for each: Titan for the premium mainstream buyer, Fastrack for young, trend-driven customers, and Sonata for value-conscious, mass-market buyers — each with its own design language, pricing, and retail experience.

Nike designs and markets separate footwear lines and specific campaigns for runners, basketball players, casual lifestyle users, and children.

TYPE 3

Concentrated (Niche) Marketing

The firm goes after a large share of one or a few smaller segments or niches, rather than a small share of a large market, allowing deep specialization and strong positioning.

When to Use

- Resources are limited relative to large competitors
- A segment is being ignored or underserved by rivals
- Deep expertise commands a premium price

PRACTICAL EXAMPLE

Rolls-Royce in ultra-luxury automobiles

Rather than competing across the mass car market, Rolls-Royce concentrates entirely on the ultra-high-net-worth segment, offering bespoke craftsmanship and extreme customization. This narrow focus lets a relatively small manufacturer command premium pricing and near-total dominance of its chosen niche.

Rolex strictly concentrates its high-end branding and distribution on high-income luxury watch buyers rather than mass-market consumers.

TYPE 4

Micromarketing

Marketing programs are tailored to the needs and preferences of local customer segments — down to individual cities, neighborhoods, or even single customers (local and individual marketing).

When to Use

- Rich customer data is available to personalize offers
- Local tastes or conditions vary meaningfully
- Technology enables cost-effective personalization

PRACTICAL EXAMPLE

Netflix's personalized recommendations

Netflix builds a distinct home screen, thumbnail artwork, and content ranking for every individual account based on viewing history, effectively creating millions of micro-segments of one.

Coca-Cola's "Share a Coke" campaign, printing individual names on bottles, is a well-known local/individual marketing example.

Zappos, an online shoe retailer

The Four Strategies at a Glance

Strategy	Market Coverage	Resource Need	Risk Level	Example
Undifferentiated	Entire market, one offer	Low	High (broad exposure)	Table salt
Differentiated	Multiple segments, tailored offers	High	Moderate (spread across offers)	Titan / Fastrack / Sonata
Concentrated	One or few segments	Moderate	Higher (segment dependency)	Rolls-Royce
Micromarketing	Local or individual level	High (data & tech)	Low (highly relevant offers)	Netflix recommendations

Criteria for Effective Targeting

A segment is only worth targeting if it meets these tests.



Measurable

Size, purchasing power, and profile can be estimated with reasonable accuracy.



Accessible

The segment can be effectively reached and served through distribution and promotion.



Substantial

Large and profitable enough to be worth a dedicated marketing program.



Differentiable

Conceptually distinguishable and responds differently to different marketing mixes.



Actionable

Effective programs can realistically be designed and executed for it.

LIVE CASE STUDY

Amul — Differentiated Targeting Across India

Amul (Gujarat Cooperative Milk Marketing Federation) targets distinct segments within the same dairy category rather than selling one undifferentiated product line.

Household segment
Everyday milk, butter, and ghee priced for value-conscious families across urban and rural India.

Premium segment
Products like Amul Gold and specialty cheeses target higher-income, quality-focused urban buyers.

Youth & impulse segment
Amul ice creams, chocolates, and flavored milk target younger, on-the-go consumers through modern retail.

WHY IT WORKS

By differentiating across income levels, age groups, and consumption occasions — while keeping one trusted brand umbrella — Amul captures value across nearly the entire Indian dairy market instead of ceding segments to specialized rivals.

Strategy type: Differentiated Marketing

LIVE CASE STUDY

Netflix — Micromarketing at Global Scale

Netflix moves beyond broad demographic segments and targets viewing behaviour at the level of the individual account — a textbook case of micromarketing enabled by data.



Personalized Rows

Each home screen shows a different arrangement of titles and even different thumbnail art for the same title, based on individual watch history.



Behavioural Micro-segments

Instead of a few broad genres, Netflix identifies thousands of narrow taste clusters (a form of "personalization at scale") to target recommendations.



Localized Content Targeting

Regional originals — tailored language, cast, and themes for markets such as India, Korea, and Spain — target country-level segments precisely.

Strategy type: Micromarketing, layered on top of differentiated regional content strategy

Key Takeaways



Targeting selects who to serve, sitting between segmentation and positioning in the STP process.



Four strategies — undifferentiated, differentiated, concentrated, and micromarketing — trade off reach against relevance.



Good targets are measurable, accessible, substantial, differentiable, and actionable.



Real firms like Amul and Netflix combine strategies, adapting the level of focus as data and resources allow.

Thank You